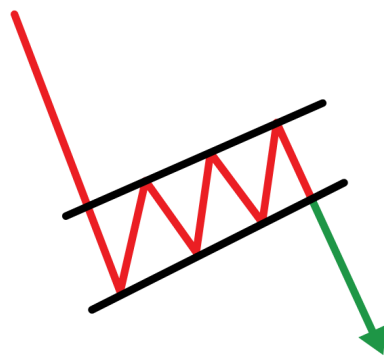


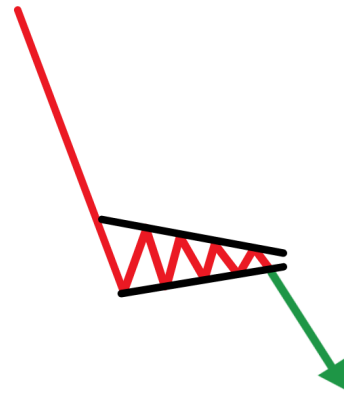
- Libraries like PyTorch exist for machine learning
- Using stock history, we can perform linear regression and test against these different patterns using metrics like trade volume
- One option we can do is make a predictive model that uses a decision tree
- Bearish patterns are after an uptrend. The supply is greater than the demand. We predict a possible downward reversal, that the price may fall
- Bearish pattern - the closing price for the period of a stock was lower than the opening price. They create immediate selling pressure for the investor due to a price decline assumption
- Bullish pattern - the closing price for the period of a stock was higher than the opening price. It creates buying pressure
- Candle chart
 - A candle has the high and the low price, and the open and closing prices for a specific time period
 - Candle body represents the difference between buying and selling activities
 - When buyers slightly outnumber sellers, the body is short and green
 - When there a lot more sellers than buyers, the body is tall and red
- Different types of Bearish patterns:
 - Double Top - after an uptrend, we have a small downtrend, but then rise back up and down again. Shaped like two big mountain peaks



- Bear Flag - sharp decline in price (like a flagpole) and parallel trend lines that make a flag shape

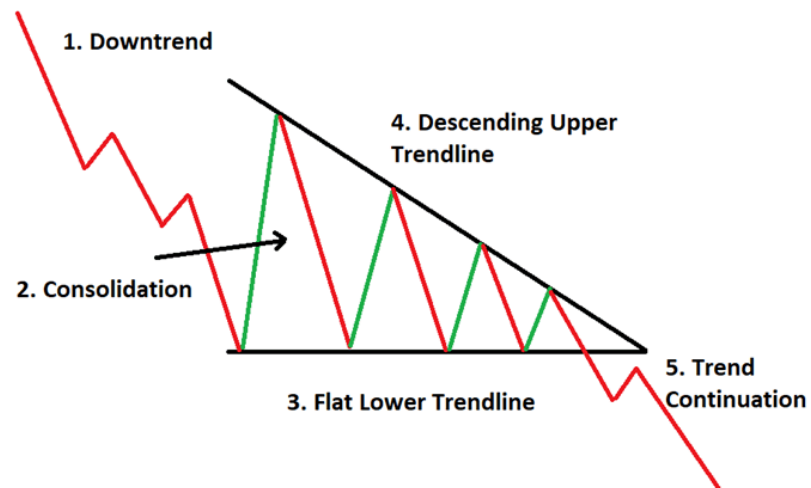


Bear Flag



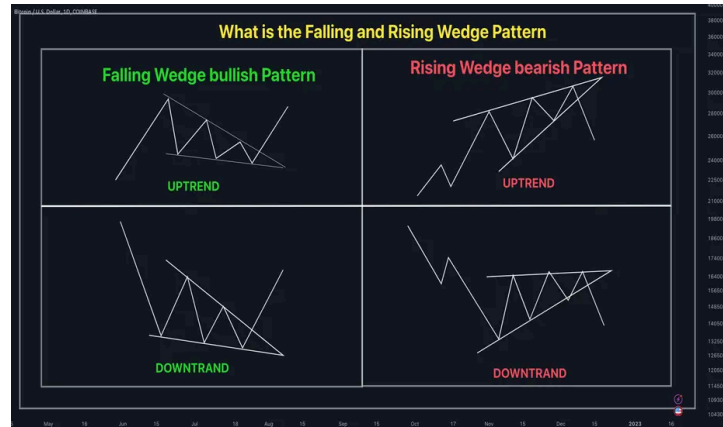
Bear Pennant

- Descending Triangle - indicates a likely continuation of a downtrend. It can sometimes signal a reversal. You have a support line and a trend line that form a triangle

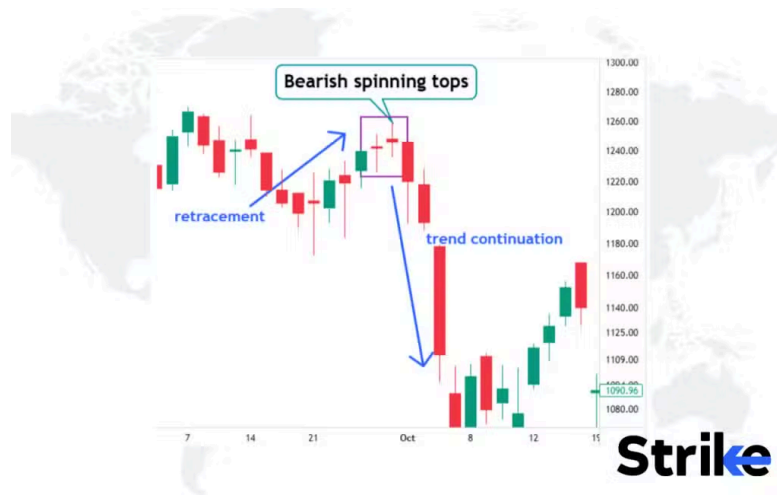


source: dailyfx.com

- Rising Wedge - trend lines form a wedge shape, indicating that a stock is about to go down



- Bearish Spinning Top - buyers attempt to extend gains but fail to hold them, allowing sellers to close the session slightly lower. There is some uncertainty with it, but it also hints at a weakening bullish pattern. Loss of momentum among buyers and emerging pressure to sell



- Hanging Man - Sellers are testing the market even during an uptrend. The presence of a bear trend raises caution about fading momentum. Confirmation comes from a bearish candle closing below the Hanging Man's low.



- Hammer and Inverted Hammer patterns (long wick, short body)
- There are a lot more of these. It may be worth looking at the top article for more on these kinds of patterns.
- Other types of patterns: bullish, bearish, continuation, reversal, indecision

Sources:

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